Retail Research	IPO Note
Sector: Capital Goods	Price Band (Rs): 145 – 153
17th September 2025	Recommendation: SUBSCRIBE for Long Term

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GK Energy Ltd

Company Overview:

GK Energy Ltd (GKEL) is India's largest pure-play provider of EPC services for solar-powered agricultural water pump systems (SPPS) under component B of the Pradhan Mantri Kisan Urja Suraksha Evam Utthan Mahabhiyan (PM-KUSUM) Scheme based on number of SPPS installed in Maharashtra. The company offers farmers an end-to-end single source solution for the survey, design, supply, assembly and installation, testing, commissioning and maintenance of solar-powered pump systems. The company is an empaneled vendor under the PM-KUSUM scheme in the states of Maharashtra, Haryana, Rajasthan, Uttar Pradesh and Madhya Pradesh with Maharashtra accounting for over 95% of SPPS installed by the company in F25. The company currently operates an asset-light model wherein it sources solar panels, pumps and various other components from different specialised vendors. Going forward, GKEL plans to backward integrate its business by venturing into manufacturing of solar panels.

Key Highlights:

1. **Leading pure-play provider of EPC for SPPS in Maharashtra**: The company is one of the largest pure-play providers of SPPS EPC services under the PM-KUSUM scheme in Maharashtra. It held ~15% market share in the state in terms of the total SPPS installed. The state of Maharashtra remains the largest beneficiary of the PM-KUSUM scheme with allocation of ~44% of the total number of SPPS under the component B segment. Further, the state government has launched various schemes like the Magel Tyala Saur Krushi Pump Yojana (MTSKPY), Atal Yojana, Mukhyamantri Saur Krushi Pump Yojana etc to support farmers. Further, it has a robust order book of ~Rs 989 cr as of 15th Aug'25 from Maharashtra and believes that it can replicate the success of Maharashtra in other states.
2. **Robust orderbook supported by positive outlook for SPPS**: As of 15th Aug'25, the GKEL's total orderbook of ~Rs 1,029 cr, comprised of SPPS order book of ~Rs 1,009 cr and Rs 20 cr for rooftop solar systems. SPPS are becoming an alternative to grid-connected and diesel-powered pumps due to unreliable electricity supply and higher costs.
3. **Decentralized infrastructure helps in geographical diversification**: GKEL operates through decentralized infrastructure which comprises of 12 warehouses in 3 states as of Aug'25. The company hires and trains manpower locally. Further, it enters into flexible agreements with third party installation and commissioning service-providers for temporarily using their storage facilities, when demand is low, also contributing to operational efficiency.
4. **Diversifying sources of revenue by installing rooftop solar systems**: GKEL plans to take advantage of the significant market shift toward renewable energy in India. Solar rooftop market has grown approximately 10 times in the past 5 years and PM Surya Ghar Yojna, backed by higher subsidy, is expected to drive 12-13 GW of residential rooftop additions in next 5 years.

Valuation: At the upper price band of Rs 153, the IPO is valued at a P/E multiple of 23.3x on post issue capital. Between FY22-FY25, Revenue/EBITDA/PAT grew at a CAGR of 96%/241%/263% to Rs 1095 cr/ Rs 200 cr/Rs 133 cr respectively. The 3-fold margin expansion was supported by higher volume and operational efficiency. The growth outlook is positive as the SSPS market is likely to grow 8x between FY24-29 to Rs 30,000-32,000 cr. While comparing with its close listed peers, the issue is fairly priced on most valuation parameters with superior margin and return ratios. We recommend investors to SUBSCRIBE the IPO at the Cut-Off price for long term investment horizon. However, investors need to be aware of the fact that the business is subject to significant regulatory risk coupled with significant exposure to the state of Maharashtra.

Issue Details	
Date of Opening	19th September 2025
Date of Closing	23rd September 2025
Price Band (Rs)	145 – 153
Issue Size (Rs cr)	461 – 464
Fresh Issue (Rs cr)	400.0
Offer for sale (shares)	42,00,000
Issue Size (No. of shares) @ upper band	3,03,43,791
Face Value (Rs)	2.0
Post Issue Market Cap (Rs cr) @ upper band	2,962 – 3,103
BRLMs	IIFL Capital Services Ltd, HDFC Bank Ltd
Registrar	MUFG Intime India Pvt Ltd
Bid Lot	98 shares and in multiples thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Objects of Issue	Estimated utilization from net proceeds (Rs cr)
Funding long-term working capital requirements of the company	322.5
General corporate purposes*	-
Total proceeds from fresh issue*	**400.0**

**To be finalised upon determination of the Issue Price and updated in the Prospectus prior to filing with the RoC. The amount utilised for general corporate purposes shall not exceed 25% of the Gross Proceeds.*

Shareholding Pattern		
Pre-Issue	**No. of Shares**	**%**
Promoter & Promoter Group	16,48,21,296	93.3
Public & Others	1,18,52,180	6.7
Total	**17,66,73,476**	**100.0**

Post Issue @ Upper Price Band	No. of Shares	%
Promoter & Promoter Group	16,06,21,296	79.2
Public & Others	4,21,95,971	20.8
Total	**20,28,17,267**	**100.0**

Promoter entities selling through OFS	No of shares
Gopal Rajaram Kabra	40,00,000
Mehul Ajit Shah	2,00,000
Total	**42,00,000**

Source: RHP, SSL Research

Key Financials

Particulars (Rs cr)	FY23#2	FY24#2	FY25#3
Revenue from operations	285	411	1,095
EBITDA	17	54	200
Adj. PAT	10	36	133
EBITDA Margin (%)	6.0	13.1	18.2
Adj. PAT Margin (%)	3.5	8.8	12.2
RoE (%)	50.7	64.5	63.7
RoCE (%)	27.4	46.0	47.5
P/E (x)#1	268.2	74.9	20.3

Source: RHP, SSL Research
#1 Pre-issue based on upper price band
#2 Financials for FY23 and FY24 are on a standalone basis.
#3 Financials for FY25 are on a consolidated basis.

Risk Factors

- **Government scheme related risk:** During FY23/FY24/FY25, the company generated 89.0%/74.4%/83.8% of its revenue respectively, directly or indirectly from the PM-KUSUM scheme. IF the PM-KUSUM scheme is not extended beyond its current end date of Mar'26 or is not replaced by similar state level schemes, it may have an adverse impact on the company's performance.

- **Receivable risk:** The company's receivables have increased 3.2x from ~Rs 113 cr in FY23 to ~Rs 361 cr in FY25 as the company receives a large chunk of its revenue from government tendering business. Although, receivable days have decreased from 144 days in FY23 to 120 days in FY25, any failure to collect receivables in a timely manner or any inability to recover outstanding payments may have an adverse impact on the company's performance.

- **Geographic concentration:** The company generated 61.8%/67.6%/93.1% of its FY23/FY24/FY25 revenue respectively from the state of Maharashtra. Any decrease in demand for solar powered pump systems due to downturn in the economy, changes in laws & regulation etc. in the state of Maharashtra may have an adverse impact on the company's performance.

Growth Strategy

- Replicate its success in the state of Maharashtra in high-potential states of Haryana, Rajasthan, Uttar Pradesh and Madhya Pradesh.
- Diversify sources of revenues by installing rooftop solar systems.
- Backward integrate by manufacturing solar panels for captive consumption.
- Develop a dedicated vendor ecosystem for various components of solar powered pump systems and rooftop systems through organic and inorganic means.
- Explore other opportunities in the solar market.

Revenue Split - Segment wise

Particulars	FY23		FY24		FY25	
	Rs cr	as a % of Total Revenue	Rs cr	as a % of Total Revenue	Rs cr	as a % of Total Revenue
EPC for Solar-Powered Pump Systems	**258.1**	**90.6**	**374.4**	**91.1**	**1,087.4**	**99.3**
Direct-to-beneficiary[#1]	*253.7*	*98.3*	*305.8*	*81.7*	*921.7*	*84.8*
Sales to others[#1]	*4.4*	*1.7*	*68.5*	*18.3*	*165.7*	*15.2*
Other EPC Services	13.5	4.7	20.8	5.1	-	-
Trading Activities	12.0	4.2	13.6	3.3	1.0	0.1
Other	1.5	0.5	2.4	0.6	6.5	0.6
Total	**285.0**	**100.0**	**411.1**	**100.0**	**1,094.8**	**100.0**

Source: RHP, SSL Research
#1 Direct-to-beneficiary and sales to others are as a % to EPC for Solar-Powered Pump Systems

Revenue Split - Geography wise

Particulars	FY23		FY24		FY25	
	Rs cr	as a % of SPPS Revenue	Rs cr	as a % of SPPS Revenue	Rs cr	as a % of SPPS Revenue
Maharashtra	154.7	59.7	256.2	68.4	1,012.6	93.1
Haryana	81.9	31.6	102.4	27.4	35.3	3.2
Uttar Pradesh	-	-	-	-	11.9	1.1
Rajasthan	-	0.3	15.6	4.2	27.6	2.5
Punjab	21.5	8.3	0.2	0.0	-	-
Total	**258.1**	**100.0**	**374.4**	**100.0**	**1,087.4**	**100.0**

Source: RHP, SSL Research

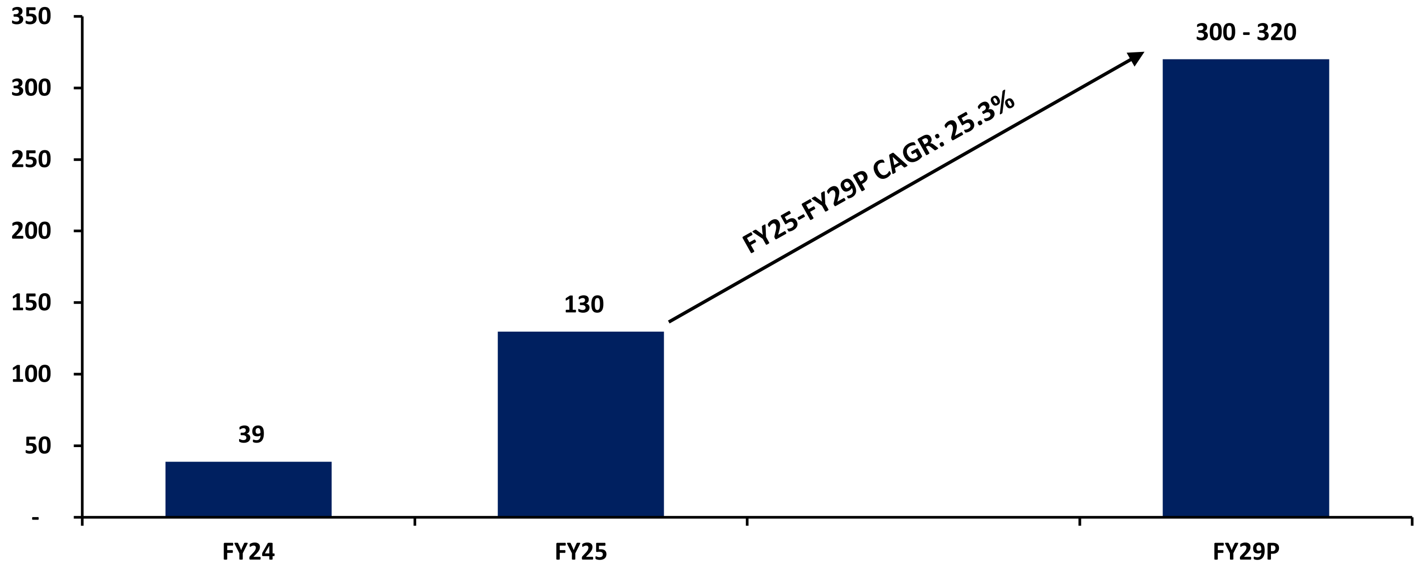
Number of Solar-Powered Pump Systems Installed

Particulars	FY23	FY24	FY25
Maharashtra	7,357	12,861	43,310
Haryana	2,545	3,038	841
Uttar Pradesh	-	-	518
Rajasthan	-	389	875
Punjab	885	5	-
Total	**10,787**	**16,293**	**45,544**

Source: RHP, SSL Research

Industry Overview

Indian Solar-Powered Pump Systems Market (Rs bn)



Source: RHP, SSL Research

State-wise sanctions of under component B of PM-KUSUM

State	Number of Solar-Powered Pump Systems sanctioned	State-wise share
Maharashtra	5,55,000	43.6%
Rajasthan	1,62,914	12.8%
Haryana	1,97,655	15.5%
Uttar Pradesh	1,07,266	8.4%
Madhya Pradesh	59,400	4.7%
Others	1,90,523	15.0%
Total	**12,72,758**	**100.0%**

Source: RHP, SSL Research

State-wise installations under component B of PM-KUSUM

State	Number of Solar-Powered Pump Systems installed	State-wise share
Maharashtra	4,23,379	49.9%
Haryana	1,61,073	19.0%
Rajasthan	1,06,831	12.6%
Uttar Pradesh	64,468	7.6%
Jharkhand	33,346	3.9%
Others	59,233	7.0%
Total	**8,48,330**	**100.0%**

Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
Particulars (Rs cr)	**FY23#2**	**FY24#2**	**FY25#3**
Revenue from Operations	**285**	**411**	**1,095**
YoY growth	***-***	***44.2%***	***166.3%***
Cost Of Revenues (incl. Stock Adj.)	255	311	703
Gross Profit	**30**	**100**	**391**
Gross margin	***10.5%***	***24.3%***	***35.8%***
Employee Cost	1	8	18
Other Operating Expenses	12	38	174
EBITDA	**17**	**54**	**200**
EBITDA margin	***6.0%***	***13.1%***	***18.2%***
Other Income	-	1	4
Interest Exp.	4	6	22
Depreciation	0	1	1
PBT	**13**	**48**	**180**
Exceptional item	-	-	-
Tax	3	12	47
Reported PAT	**10**	**36**	**133**
Reported PAT margin	***3.5%***	***8.8%***	***12.2%***

BALANCE SHEET			
Particulars (Rs cr)	**FY23#2**	**FY24#2**	**FY25#3**
Assets			
Net Block	6	11	13
Intangible Assets	-	-	1
Other Non-current Assets	4	10	15
Current Assets			
Inventories	12	20	60
Trade receivables	113	152	361
Cash and Bank Balances	4	10	63
Other Current Assets	4	12	71
Total Current Assets	**133**	**193**	**555**
Current Liabilities & Provisions			
Trade payables	77	67	117
Other current liabilities	2	20	35
Short-term provisions	-	6	4
Total Current Liabilities	**78**	**92**	**156**
Net Current Assets	**54**	**101**	**399**
Assets Classified as held for sale	-	-	-
Total Assets	**64**	**122**	**428**
Liabilities			
Share Capital	1	1	34
Reserves and Surplus	19	55	175
Total Shareholders' Funds	**20**	**56**	**209**
Minority Interest	-	-	-
Total Debt	43	62	218
Other Long-Term Liabilities	1	2	-
Net Deferred Tax Liability	1	1	-
Total Liabilities	**64**	**122**	**428**

CASHFLOW			
Particulars (Rs cr)	FY23#2	FY24#2	FY25#3
Cash flow from Operating Activities	(15)	(5)	(99)
Cash flow from Investing Activities	(0)	(10)	(53)
Cash flow from Financing Activities	15	15	152
Free Cash Flow	(15)	(10)	(103)

RATIOS			
Particulars	FY23#2	FY24#2	FY25#3
Profitability			
Return on Assets	7.1%	16.9%	22.8%
Return on Capital Employed	27.4%	46.0%	47.5%
Return on Equity	50.7%	64.5%	63.7%
Margin Analysis			
Gross Margin	10.5%	24.3%	35.8%
EBITDA Margin	6.0%	13.1%	18.2%
Net Profit Margin	3.5%	8.8%	12.2%
Short-Term Liquidity			
Current Ratio (x)	1.2	1.4	1.5
Quick Ratio (x)	1.1	1.3	1.4
Avg. Days Sales Outstanding	144	135	120
Avg. Days Inventory Outstanding	17	23	31
Avg. Days Payables	105	68	48
Fixed asset turnover (x)	47.7	39.0	83.7
Debt-service coverage (x)	0.4	0.8	0.8
Long-Term Solvency			
Total Debt / Equity (x)	2.1	1.1	1.0
Interest Coverage Ratio (x)	4.7	8.9	9.1
Valuation Ratios#1			
EV/EBITDA (x)	159.6	51.2	14.3
P/E (x)	268.2	74.9	20.3
P/B (x)	136.1	48.3	12.9
EV/Sales (x)	9.6	6.7	2.6
Mkt Cap/Sales (x)	9.5	6.6	2.5

#1 Valuation ratios are based on pre-issue capital at the upper price band.
#2 Financials for FY23 and FY24 are on a standalone basis.
#3 Financials for FY25 are on a consolidated basis.
Source: RHP, SSL Research

Peer Comparison (FY25)

Particulars (Rs cr)	GK Energy Ltd	Shakti Pumps (India) Ltd	Oswal Pumps Ltd
CMP (Rs)	153	880	793
Sales	1,095	2,516	1,430
EBITDA	200	603	420
Net Profit	133	408	281
Mkt Cap.	3,103	10,858	9,038
Enterprise Value	2,858	10,856	9,353
EBITDA Margin (%)	18.2	24.0	29.4
Net Profit Margin (%)	12.2	16.2	19.6
P/E (x)	20.3	26.6	32.2
EV/EBITDA (x)	14.3	18.0	22.3
RoE (%)	63.7	35.2	60.7
RoCE (%)	47.5	45.2	52.1
EV/Sales (x)	2.6	4.3	6.5

For GK Energy Limited, the Market cap, Enterprise Value, P/E(x), EV/EBITDA (x) and EV/Sales(x) are calculated on post-issue equity share capital based on the upper price band.

CMP as on 17th September, 2025.

Source: RHP, SSL Research

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